

Intraday Top-Down Opening Range Breakout (ORB) Trading Strategy

1. Strategy Overview

This intraday trading strategy utilizes a top-down approach (Market Sentiment → Sector Strength → Individual Stock) combined with a modified 15-Minute Opening Range Breakout (ORB) execution. By filtering for strong sectoral momentum and requiring price confirmation on a 5-minute timeframe, the strategy aims to capture high-probability directional trends with a defined 1:2 Risk-to-Reward Ratio (RRR).

2. Market & Sector Selection Rules

Before selecting individual stocks, evaluate the overall market and sectoral health using the National Stock Exchange (NSE) Live Market Indices Heatmap at **9:30 AM** (after the first 15-minute candle forms).

Sector Index Cutoff Thresholds

- **Neutral/Flat Zone (-0.50% to +0.50%): NO TRADE.** Do not select sectors moving within this range as they lack sufficient directional momentum.
- **Bullish Sector (> +0.50%):** Valid sector for long/buy trades. Choose the top 1 or 2 strongest sectors.
- **Bearish Sector (< -0.50%):** Valid sector for short/sell trades. Choose the top 1 or 2 weakest sectors.

3. Individual Stock Selection Rules

Once a valid sector is selected, open its constituent stock list and apply the following percentage filters:

Stock % Change Range	Status	Action
Between -0.80% and +0.80%	Insufficient Momentum	SKIP — Do not trade.
+0.80% to +2.50% (Bullish) -0.80% to -2.50% (Bearish)	Ideal Momentum Zone	VALID — Select for ORB setup.
Greater than +3.00% or -3.00%	Overextended	SKIP — High risk of profit-booking/reversal.

Liquidity Requirement: Focus exclusively on highly liquid, large-cap stocks (e.g., Nifty 50 or high-volume Nifty Next 50 stocks) within the chosen index to prevent slippage on tight stops.

4. Technical Setup & Entry Rules

1. **Mark the 15-Minute Range:** On the 15-minute timeframe chart of the selected stock, identify and mark the **High** and **Low** of the first 15-minute candle (09:15 AM – 09:30 AM).
2. **Switch Timeframe:** Switch to the **5-minute timeframe** at 09:30 AM.
3. **Breakout Confirmation:** Wait for a 5-minute candle to **close completely outside** the marked 15-minute range:
 - **Bullish Trade:** A 5-minute candle closes ABOVE the 15-minute high.
 - **Bearish Trade:** A 5-minute candle closes BELOW the 15-minute low.
4. **Entry Execution:** Place a trade as soon as price ticks past the High (for long trades) or Low (for short trades) of that confirming 5-minute breakout candle.

5. Risk Management & Stop Loss Rules

- **Stop Loss (SL) Placement:** Place the SL just beyond the opposite end of the 5-minute breakout candle (including a small buffer of 0.05% to 0.10% to prevent noise stop-outs).
 - *Long Trade SL:* Low of the 5-minute breakout candle minus buffer.
 - *Short Trade SL:* High of the 5-minute breakout candle plus buffer.
- **Risk-to-Reward Ratio (RRR):** Minimum target is set to **1:2** (Reward = 2x Risk).
- **Position Sizing:** Calculate share quantity based on a fixed percentage of total capital per trade (e.g., 1% max risk per trade):
$$\text{Quantity} = \frac{\text{Total Capital Risked per Trade}}{(\text{Entry Price} - \text{Stop Loss Price})}$$

6. Exit & Trade Management Protocols

- **Target Hit (1:2 RRR):** Exit 100% of the position upon reaching the 1:2 price target.
- **Breakeven Rule (1:1 RRR):** Once the price reaches a 1:1 risk-to-reward ratio, adjust the Stop Loss to the entry price (Breakeven) to make the trade risk-free.
- **Scale-Out Option (Optional):** At 1:1.5 RRR, book 50% profit and trail the Stop Loss on the remaining 50% to Breakeven.
- **Time-Based Exit (1:30 PM - 2:00 PM Rule):** If the trade has not reached the 1:2 target by 2:00 PM and is moving sideways, close the position at market price or trail SL aggressively to the nearest 5-minute swing low/high.
- **End of Day Exit:** Force exit all open intraday positions by 3:15 PM at market price.